



**STATE OF ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN**

Schedule of Employer and Nonemployer Allocations and Schedule of
Pension Amounts by Employer and Nonemployer

June 30, 2015

(With Independent Auditors' Report Thereon)

**STATE OF ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN**

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Independent Auditors' Report

The Division of Retirement and Benefits and
Members of the Alaska Retirement Management Board
State of Alaska Teachers' Retirement System:

We have audited the accompanying schedule of employer and nonemployer allocations of the State of Alaska Teachers' Retirement System Defined Benefit Pension Plan as of and for the year ended June 30, 2015 and the related notes. We have also audited the total for all entities of the columns titled net pension liability, total deferred outflows of resources, total deferred inflows of resources, and total employer pension expense excluding that attributable to employer-paid member contributions (specified column totals) included in the accompanying schedule of pension amounts by employer and nonemployer of the State of Alaska Teachers' Retirement System Defined Benefit Pension Plan as of and for the year ended June 30, 2015 and the related notes.

Management's Responsibility for the Schedules

Management is responsible for the preparation and fair presentation of these schedules in accordance with U.S. generally accepted accounting principles; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the schedules that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express opinions on the schedule of employer and nonemployer allocations and the specified column totals included in the schedule of pension amounts by employer and nonemployer based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the schedule of employer and nonemployer allocations and specified column totals included in the schedule of pension amounts by employer and nonemployer are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the schedule of employer and nonemployer allocations and specified column totals included in the schedule of pension amounts by employer and nonemployer. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the schedule of employer and nonemployer allocations and specified column totals included in the schedule of pension amounts by employer and nonemployer, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the schedule of employer and nonemployer allocations and specified column totals included in the schedule of pension amounts by employer and nonemployer in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the



overall presentation of the schedule of employer and nonemployer allocations and specified column totals included in the schedule of pension amounts by employer and nonemployer.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the schedules referred to above present fairly, in all material respects, the employer and nonemployer allocations and net pension liability, total deferred outflows of resources, total deferred inflows of resources, and total employer pension expense excluding that attributable to employer-paid member contributions for the total of all participating entities for the State of Alaska Teachers' Retirement System Defined Benefit Pension Plan as of and for the year ended June 30, 2015, in accordance with U.S. generally accepted accounting principles.

Other Matter

We have audited, in accordance with auditing standards generally accepted in the United States of America the financial statements of the State of Alaska Teachers' Retirement System, which includes the Defined Benefit Pension Plan, as of and for the year ended June 30, 2015, and our report thereon, dated December 4, 2015, expressed an unmodified opinion on those financial statements.

Other Information

The supplemental schedule of employer allocations of special funding amounts, supplemental schedule of special funding amounts by employer, and supplemental schedule of employer and nonemployer contributions have not been subject to the auditing procedures applied in the audit of the schedule of employer and nonemployer allocations and schedule of pension amounts by employer and nonemployer and accordingly, we do not express an opinion or provide any assurance on them.

Restriction on Use

Our report is intended solely for the information and use of the State of Alaska Teachers' Retirement System management, the members of the Alaska Retirement Management Board, State of Alaska Teachers' Retirement System Defined Benefit Pension Plan employers and nonemployers, and their auditors, and is not intended to be and should not be used by anyone other than these specified parties.

KPMG LLP

October 21, 2016

STATE of ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN

Schedule of Employer and Nonemployer Allocations

As of and for the year ended June 30, 2015

Employer/ Nonemployer	Employer number	Present value of projected future contributions	Allocation percentage
Employers:			
Anchorage SD	701	\$ 271,467,000	13.49122889%
Cordova City SD	704	1,812,000	0.09005185%
Craig City SD	705	2,201,000	0.10938418%
Fairbanks North Star Borough SD	706	78,491,000	3.90080580%
Haines Borough SD	707	1,558,000	0.07742869%
Hoonah City SD	708	1,031,000	0.05123811%
Hydaburg City SD	709	338,000	0.01679775%
Juneau Borough SD	710	28,687,000	1.42567193%
Kake City SD	712	832,000	0.04134831%
Ketchikan Gateway Borough SD	714	14,013,000	0.69641095%
Klawock City SD	717	1,074,000	0.05337511%
Kodiak Island Borough SD	718	13,095,000	0.65078865%
Nenana City SD	719	1,821,000	0.09049913%
Nome City SD	720	4,328,000	0.21509074%
Matanuska-Susitna Borough SD	722	95,568,000	4.74948986%
Pelican City SD	723	70,000	0.00347882%
Petersburg City SD	724	3,305,000	0.16425021%
Sitka Borough SD	727	8,965,000	0.44553801%
Skagway City SD	728	704,000	0.03498703%
Unalaska City SD	729	3,058,000	0.15197493%
Valdez City SD	730	4,320,000	0.21469316%
Wrangell Public SD	731	1,485,000	0.07380077%
Yakutat SD	732	929,000	0.04616897%
University of Alaska	733	40,753,000	2.02532187%
Galena City SD	735	5,235,000	0.26016637%
North Slope Borough SD	736	14,242,000	0.70779167%
State of Alaska	737	15,684,000	0.77945545%
Bristol Bay Borough SD	742	733,000	0.03642826%
Southeast Regional Resource Center	743	665,000	0.03304883%
Dillingham City SD	744	3,789,000	0.18830379%
Kenai Peninsula Borough SD	746	50,967,000	2.53293204%
Saint Mary's SD	748	1,030,000	0.05118842%

STATE of ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN

Schedule of Employer and Nonemployer Allocations

As of and for the year ended June 30, 2015

Employer/ Nonemployer	Employer number	Present value of projected future contributions	Allocation percentage
Northwest Arctic Borough SD	751	\$ 11,776,000	0.58523766%
Bering Strait SD	752	13,808,000	0.68622296%
Lower Yukon SD	753	13,111,000	0.65158381%
Lower Kuskokwim SD	754	27,892,000	1.38616243%
Kuspuk SD	755	2,391,000	0.11882670%
Southwest Region SD	756	4,375,000	0.21742652%
Lake And Peninsula Borough SD	757	3,349,000	0.16643690%
Aleutian Region SD	758	365,000	0.01813958%
Pribilof SD	759	556,000	0.02763181%
Iditarod Area SD	761	1,997,000	0.09924589%
Yukon / Koyukuk SD	762	4,076,000	0.20256697%
Yukon Flats SD	763	2,534,000	0.12593344%
Denali Borough SD	764	2,195,000	0.10908599%
Delta/Greely SD	765	3,986,000	0.19809420%
Alaska Gateway SD	766	2,813,000	0.13979904%
Copper River SD	767	2,103,000	0.10451382%
Chatham SD	768	917,000	0.04557260%
Southeast Island SD	769	1,808,000	0.08985306%
Annette Island SD	770	2,262,000	0.11241573%
Chugach SD	771	1,354,000	0.06729040%
Tanana SD	775	437,000	0.02171780%
Kashunamiut SD	777	1,833,000	0.09109550%
Yupiit SD	778	3,267,000	0.16236170%
Special Education Service Agency	779	928,000	0.04611927%
Aleutians East Borough SD	780	1,674,000	0.08319360%
Total present value of projected future employer contributions		784,057,000	38.96566599%
Total Nonemployer: State of Alaska	999	1,228,117,000	61.03433401%
Total for all entities		\$ 2,012,174,000	100.00000000%

See accompanying notes to schedule of employer and nonemployer allocations and schedule of pension amounts by employer and nonemployer.

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STATE OF ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN

Schedule of Employer and Nonemployer Allocations
As of and for the year ended June 30, 2015

Deferred outflows of resources						
Employer/ Nonemployer	Employer/ nonemployer number	Net pension liability	Difference between expected and actual experience	Changes of assumptions	Changes in proportion and difference between employer contributions and proportionate share of contributions	Total deferred outflows of resources
Employer:						
Anchorage SD	701	\$ 250,997,703	-	11,084,612	27,634,644	38,719,256
Cordova City SD	704	1,675,371	-	73,988	-	73,988
Craig City SD	705	2,035,039	-	89,872	170,098	259,970
Fairbanks North Star Borough SD	706	72,572,580	-	3,204,965	6,911,917	10,116,882
Haines Borough SD	707	1,440,523	-	63,617	124,374	187,991
Hoonah City SD	708	953,260	-	42,098	80,324	122,422
Hydaburg City SD	709	312,514	-	13,801	-	13,801
Juneau Borough SD	710	26,523,928	-	1,171,355	2,753,133	3,924,488
Kake City SD	712	769,265	-	33,972	128,383	162,356
Ketchikan Gateway Borough SD	714	12,956,384	-	572,183	1,373,107	1,945,290
Klawock City SD	717	993,018	-	43,854	-	43,854
Kodiak Island Borough SD	718	12,107,604	-	534,698	569,406	1,104,104
Nenana City SD	719	1,683,692	-	74,356	55,903	130,259
Nome City SD	720	4,001,658	-	176,722	445,673	622,395
Matanuska-Susitna Borough SD	722	88,361,932	-	3,902,258	9,530,444	13,432,702
Pelican City SD	723	64,722	-	2,858	3,676	6,534
Petersburg City SD	724	3,055,795	-	134,951	194,292	329,243
Sitka Borough SD	727	8,289,016	-	366,061	535,201	901,262
Skagway City SD	728	650,917	-	28,746	69,613	98,359
Unalaska City SD	729	2,827,419	-	124,865	383,898	508,763
Valdez City SD	730	3,994,261	-	176,395	2,157	178,552
Wrangell Public SD	731	1,373,027	-	60,636	371	61,007
Yakutat SD	732	858,951	-	37,933	69,451	107,384
University of Alaska	733	37,680,121	-	1,664,037	1,283,393	2,947,430
Galena City SD	735	4,840,268	-	213,757	305,606	519,363
North Slope Borough SD	736	13,168,117	-	581,533	1,439,268	2,020,801
State of Alaska	737	14,501,387	-	640,413	35,713	676,126
Bristol Bay Borough SD	742	677,730	-	29,930	119,799	149,729
Southeast Regional Resource Center	743	614,857	-	27,153	124,034	151,187
Dillingham City SD	744	3,503,300	-	154,713	421,104	575,817
Kenai Peninsula Borough SD	746	47,123,960	-	2,081,098	4,729,068	6,810,166
Saint Mary's SD	748	952,335	-	42,057	97,221	139,278
Northwest Arctic Borough SD	751	10,888,060	-	480,841	965,344	1,446,185
Bering Strait SD	752	12,766,842	-	563,812	1,708,446	2,272,258
Lower Yukon SD	753	12,122,397	-	535,352	2,373,883	2,909,235
Lower Kuskokwim SD	754	25,788,873	-	1,138,893	3,330,434	4,469,327
Kuspuk SD	755	2,210,713	-	97,630	262,635	360,265
Southwest Region SD	756	4,045,114	-	178,641	536,701	715,343
Lake And Peninsula Borough SD	757	3,096,477	-	136,747	508,171	644,918
Aleutian Region SD	758	337,478	-	14,904	44,536	59,440
Pribilof SD	759	514,076	-	22,703	105,981	128,684
Iditarod Area SD	761	1,846,421	-	81,542	394,850	476,392
Yukon / Koyukuk SD	762	3,768,659	-	166,432	439,828	606,260
Yukon Flats SD	763	2,342,930	-	103,469	371,564	475,033
Denali Borough SD	764	2,029,491	-	89,627	378,685	468,311
Delta/Greely SD	765	3,685,446	-	162,757	565,032	727,789
Alaska Gateway SD	766	2,600,893	-	114,861	323,340	438,201
Copper River SD	767	1,944,428	-	85,870	73,473	159,343
Chatham SD	768	847,856	-	37,443	-	37,443
Southeast Island SD	769	1,671,672	-	73,825	240,515	314,340
Annette Island SD	770	2,091,439	-	92,363	393,593	485,956
Chugach SD	771	1,251,905	-	55,287	91,698	146,985
Tanana SD	775	404,049	-	17,844	97,281	115,124
Kashunamiut SD	777	1,694,787	-	74,846	496,061	570,907
Yupitit SD	778	3,020,660	-	133,399	743,259	876,658
Special Education Service Agency	779	858,026	-	37,892	112,160	150,053
Aleutians East Borough SD	780	1,547,776	-	68,353	35,813	104,166
Total attributable to employer contributions		724,937,123	-	32,014,822	74,184,551	106,199,373
Nonemployer:						
State of Alaska	999	1,135,513,877	-	50,146,797	2,987,048	53,133,845
Total for all entities		1,860,451,000	-	82,161,619	77,171,600	159,333,219

See accompanying notes to schedule of employer and nonemployer allocations and schedule of pension amounts by employer and nonemployer.

Deferred inflows of resources					Pension expense excluding that attributable to employer-paid member contributions		
Difference between expected and actual experience	Changes of assumptions	Net difference between projected and actual investment earnings on pension plan investments	Changes in proportion and difference between employer contributions and proportionate share of contributions	Total deferred inflows of resources	Proportionate share of allocable plan pension expense	Net amortization of deferred amounts from changes in proportion and differences between employer contributions and proportionate share of contributions	Total employer pension expense excluding that attributable to employer-paid member contributions
402,337	-	3,687,797	1,217,546	5,307,680	32,497,090	21,063,398	53,560,489
2,686	-	24,615	51,667	78,968	216,913	(163,452)	53,461
3,262	-	29,900	-	33,162	263,480	161,348	424,828
116,330	-	1,066,276	373,455	1,556,062	9,396,093	5,038,711	14,434,804
2,309	-	21,165	18,207	41,682	186,507	52,376	238,883
1,528	-	14,006	3,088	18,622	123,420	62,729	186,149
501	-	4,592	22,278	27,370	40,462	(37,086)	3,375
42,517	-	389,704	113,773	545,994	3,434,097	2,123,603	5,557,700
1,233	-	11,302	-	12,536	99,598	138,552	238,150
20,768	-	190,362	16,387	227,518	1,677,485	1,193,655	2,871,140
1,592	-	14,590	24,451	40,633	128,568	(67,154)	61,414
19,408	-	177,892	157,582	354,882	1,567,592	(7,633)	1,559,958
2,699	-	24,738	10,959	38,395	217,990	14,293	232,283
6,414	-	58,795	374	65,583	518,101	403,910	922,011
141,640	-	1,298,262	62,869	1,502,771	11,440,366	8,454,476	19,894,842
104	-	951	1,049	2,103	8,380	(154)	8,226
4,898	-	44,897	-	49,796	395,639	185,796	581,435
13,287	-	121,787	23,020	158,093	1,073,193	409,814	1,483,007
1,043	-	9,564	8,290	18,897	84,275	35,651	119,926
4,532	-	41,542	1,376	47,450	366,071	344,411	710,482
6,403	-	58,686	23	65,111	517,144	1,885	519,028
2,201	-	20,173	81,648	104,022	177,768	(72,989)	104,780
1,377	-	12,620	1,242	15,239	111,210	58,997	170,207
60,399	-	553,617	226,073	840,090	4,878,508	413,143	5,291,651
7,759	-	71,116	-	78,875	626,678	336,318	962,995
21,108	-	193,473	65,207	279,789	1,704,898	1,091,067	2,795,965
23,245	-	213,062	596,798	833,106	1,877,519	(423,500)	1,454,018
1,086	-	9,958	15,201	26,245	87,747	58,238	145,985
986	-	9,034	11,253	21,272	79,607	75,249	154,856
5,616	-	51,472	25,285	82,373	453,578	298,539	752,117
75,537	-	692,371	81,452	849,360	6,101,217	4,027,647	10,128,864
1,527	-	13,992	-	15,519	123,300	93,154	216,454
17,453	-	159,973	29,646	207,072	1,409,695	778,767	2,188,462
20,465	-	187,577	106,347	314,389	1,652,944	1,198,642	2,851,586
19,432	-	178,109	-	197,541	1,569,507	2,228,342	3,797,849
41,338	-	378,904	152,426	572,669	3,338,928	2,519,581	5,858,509
3,544	-	32,481	30,893	66,918	286,225	135,783	422,007
6,484	-	59,433	6,948	72,865	523,728	464,749	988,477
4,964	-	45,495	5,335	55,794	400,906	444,189	845,095
541	-	4,958	-	5,499	43,694	53,096	96,790
824	-	7,553	-	8,377	66,558	108,152	174,710
2,960	-	27,129	-	30,088	239,059	410,561	649,620
6,041	-	55,371	7,095	68,507	487,935	376,195	864,130
3,756	-	34,424	12,027	50,207	303,343	297,694	601,037
3,253	-	29,818	49,246	82,318	262,762	180,106	442,867
5,908	-	54,149	42,513	102,569	477,161	371,955	849,116
4,169	-	38,214	4,162	46,545	336,742	280,072	616,814
3,117	-	28,569	30,493	62,178	251,748	(34,850)	216,898
1,359	-	12,457	29,400	43,216	109,773	(52,642)	57,131
2,680	-	24,561	-	27,241	216,434	227,958	444,392
3,352	-	30,729	13,815	47,896	270,782	311,761	582,543
2,007	-	18,394	26,080	46,480	162,086	(3,570)	158,516
648	-	5,937	-	6,584	52,313	95,017	147,330
2,717	-	24,901	15,217	42,834	219,427	400,242	619,669
4,842	-	44,381	64,624	113,847	391,090	460,276	851,366
1,375	-	12,607	12,562	26,544	111,090	60,091	171,181
2,481	-	22,741	4,118	29,340	200,393	18,829	219,222
1,162,039	-	10,651,177	3,853,502	15,666,717	93,858,816	56,695,989	150,554,805
1,820,173	-	16,683,598	73,318,099	91,821,870	147,016,872	(56,695,989)	90,320,883
2,982,212	-	27,334,775	77,171,600	107,488,587	240,875,688	-	240,875,688

**STATE OF ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN**

Note to Schedule of Employer and Nonemployer Allocations and
Schedule of Pension Amounts by Employer and Nonemployer

June 30, 2015

(1) Plan Description

The State of Alaska Teachers' Retirement System Defined Benefit Pension Plan (Plan) is a cost-sharing multiple-employer defined benefit pension plan that provides pension benefits for teachers and other eligible members.

Benefit and contribution provisions are established by Chapter 14 of Alaska Statute Title 14, and may be amended only by the state legislature. The 24th Alaska State Legislature enacted into law Senate Bill 141, which closed the Plan to new members effective July 1, 2006.

There are two tiers within the Plan: 1) Employees hired between July 1, 1955 and June 30, 1990, and 2) Employees hired between July 1, 1990 and June 30, 2006.

Vested members hired prior to July 1, 1990 are entitled to pension benefits beginning at normal retirement age, 55, or early retirement age, 50. For members hired after June 30, 1990, the normal and early retirement ages are 60 and 55, respectively. Members may also retire at any age and receive a normal benefit when they accumulate the required credited service.

The normal annual pension benefit is based on years of service and average base salary. The average base salary is based upon the members' three highest contract years' salaries.

The benefit related to all years of credited service prior to July 1, 1990 and for years of service through a total of 20 years is equal to 2% of the employee's average base salary. The benefit for each year over 20 years of service subsequent to June 30, 1990 is equal to 2.5% of the employee's base salary.

Minimum benefits for members eligible for retirement are \$25 per month for each year of credited service.

Married members must receive their benefits in the form of a joint and survivor annuity unless their spouse consents to another form of benefit or benefits are payable under the 1% supplemental contributions provision.

The Plan has two types of postretirement pension adjustments (PRPA). The automatic PRPA is issued annually to all eligible benefit recipients when the cost of living increases in the previous calendar year. The automatic PRPA increase is paid beginning July 1 of each year. The discretionary PRPA may be granted to eligible recipients by the Plan's administrator if the cost of living in the previous calendar year rises and the financial condition of the Plan's permits. If both an automatic and discretionary PRPA are granted, and a retiree is eligible for both adjustments, the one that provides the retiree the greater increase will be paid.

(2) Basis of Presentation

The schedule of employer and nonemployer allocations and the schedule of pension amounts by employer and nonemployer (collectively, the Schedules) presents amounts that are considered elements of the financial statements of the Plan, its participating employers, or the State of Alaska (State) as a nonemployer entity. Accordingly, they do not purport to be a complete presentation of the financial position or changes in financial position of the Plan, its participating employers, or the State. The amounts presented in the Schedules are prepared in accordance with U.S. generally accepted accounting principles. Such preparation

**STATE OF ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN**

Note to Schedule of Employer and Nonemployer Allocations and
Schedule of Pension Amounts by Employer and Nonemployer

June 30, 2015

requires management of the Plan to make a number of estimates and assumptions relating to the reported amounts. Due to the inherent nature of these estimates, actual results could differ from those estimates.

(3) Allocation Methodology

GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*, requires participating employers in the Plan to recognize their proportionate share of the collective net pension liability, collective deferred outflows of resources, collective deferred inflows of resources and collective employer pension expense. The employer and nonemployer allocation percentages presented in the schedule of employer and nonemployer allocations and applied to amounts presented in the schedule of pension amounts by employer and nonemployer are based on the ratio of the present value of projected future contributions for each employer to the total present value of projected future contributions for the fiscal years 2017 to 2039 to the Plan. Employer and nonemployer allocation percentages have been rounded for presentation purposes; therefore, amounts presented in the schedule of pension amounts by employer and nonemployer may result in immaterial differences.

(4) Contributions

Employer contributions are actuarially determined and adopted by the Alaska Retirement Management Board (Board). As set by Alaska Statute 14.25.070(a), employer contributions were 12.56% of annual payroll for the fiscal year 2015. Each employer is also required to make an additional contribution to the Plan for employees that participate in the TRS Defined Contribution Retirement (DCR) Plan for the difference between the statutory employer contribution rate of 12.56% on eligible salaries of participants in the DCR less the total of employer matching contributions to the DCR.

Alaska Statute 14.25.085 requires the State, as a nonemployer contributing entity, contribute each July 1, or as soon after July 1 for the ensuing fiscal year, an amount that when combined with the total employer contributions is sufficient to pay the Plan's past service liability at the actuarially determined contribution rate adopted by the Board for that fiscal year.

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June 30, 2015

(5) Collective Net Pension Liability

Components of Net Pension Liability

The components of the net pension liability of the Plan as of June 30, 2015 is as follows:

Total pension liability	\$ 7,107,406,000
Plan fiduciary net position	<u>5,246,955,000</u>
Net pension liability	<u>\$ 1,860,451,000</u>

The total pension liability for the June 30, 2015 measurement date was determined by an actuarial valuation as of June 30, 2014, which was rolled forward to June 30, 2015. This actuarial valuation used the following actuarial assumptions:

Inflation rate	3.12%
Salary increases:	Graded by service, from 8.11% to 3.87%
Investment rate of return	8.00%, net of pension plan investment expenses. This is based on average inflation rate of 3.12% and a real rate of return of 4.88%.

Pre-termination mortality rates were based upon the 2010-2013 actual mortality experience, 68% of male and 65% of female post-termination rates. Deaths are assumed to be non-occupational 85% of the time. Post-termination mortality rates were based on 94% of the male rates and 97% of the female rates of the RP-2000 Mortality Table, 2000 Base Year projected to 2018 with Projection Scale BB, with a 3-year setback for males and a 4-year setback for females.

The actuarial assumptions used in the June 30, 2014 actuarial valuation were based on the results of an actuarial experience study for the period July 1, 2009 to June 30, 2013, resulting in changes in actuarial assumptions adopted by the Board to better reflect expected future experience.

Long-term Expected Rate of Return

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by an asset allocation percentage, which is based on the nature and mix of current and expected plan investments, and by adding expected inflation. Best estimates of arithmetic real rates of return for each major asset class

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included in the System's current and expected asset allocation is summarized in the following table (note that the rates shown below exclude the inflation component):

<u>Asset class</u>	<u>Long-term expected real rate of return</u>
Domestic equity	5.35%
Global equity (non-US)	5.55
Private equity	6.25
Fixed income composite	0.80
Real estate	3.65
Alternative equity	4.70

Discount Rate

The discount rate used to measure the total pension liability was 8.0%. The projection of cash flows used to determine the discount rate assumed that employer and nonemployer contributions will continue to follow the current funding policy, which meets State statutes. Based on those assumptions, the Plans fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the Plan as of June 30, 2015, calculated using the discount rate of 8.0%, as well as what the Plans net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower or 1-percentage-point higher than the current rate:

<u>1% Decrease (7%)</u>	<u>Current discount rate (8%)</u>	<u>1% Increase (9%)</u>
\$ 2,685,169,000	1,860,451,000	1,169,348,000

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June 30, 2015

(6) Collective Deferred Outflows of Resources and Deferred Inflows of Resources

The following presents a summary of changes in the collective deferred outflows of resources and deferred inflows of resources (excluding employer specific amounts) for the year ended June 30, 2015:

	Year of Deferral	Amortization Period	Beginning of year balance	Additions	Deductions	End of year balance
Deferred Outflows of Resources:						
Changes in assumptions	2015	2.1 years	—	156,854,000	74,692,381	82,161,619
Total Deferred Outflows of Resources			\$ —	156,854,000	74,692,381	82,161,619
Deferred Inflows of Resources:						
Difference between expected and actual experience	2015	2.1 years	\$ —	5,693,314	2,711,102	2,982,212
Difference between projected and actual earnings on pension plan investments	2014	5 years	\$ 267,742,366	—	66,935,591	200,806,775
	2015	5 years	—	(216,840,000)	(43,368,000)	(173,472,000)
			267,742,366	(216,840,000)	23,567,591	27,334,775
Total Deferred Inflows of Resources			\$ 267,742,366	(211,146,686)	26,278,693	30,316,987

Amounts reported as deferred outflows of resources and deferred inflows of resources (excluding employer specific amounts) related to pensions will be recognized in pension expense, excluding that attributable to employer-paid member contributions, as follows:

Year ending June 30:		
2016	\$	48,413,706
2017		(16,369,483)
2018		(23,567,591)
2019		43,368,000
Total	\$	51,844,632

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Note to Schedule of Employer and Nonemployer Allocations and
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June 30, 2015

(7) Pension Expense

The components of the pension expense (excluding employer specific amounts) for the year ending June 30, 2015 are as follows:

Service cost	\$ 63,608,000
Interest on total pension liability	540,981,000
Member contributions	(45,506,000)
Administrative expense	2,789,000
Expected investment return net of investment expenses	(369,401,000)
Other	(9,000)
Recognition (amortization) of deferred outflows/inflows of resources:	
Difference between projected and actual investment earnings on pension plan investments	(23,567,591)
Difference between expected and actual experience	(2,711,102)
Change in assumptions	74,692,381
Pension expense	<u>\$ 240,875,688</u>

STATE OF ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN

Supplemental Schedule of Employer Allocations of Special Funding Amounts (Unaudited)

As of and for the year ended June 30, 2015

Employer	Employer Number	Present value of projected future state contributions	Employer Proportionate Share
Anchorage SD	701	\$ 433,895,000	35.330103%
Cordova City SD	704	2,896,000	0.235808%
Craig City SD	705	3,516,000	0.286292%
Fairbanks North Star Borough SD	706	125,454,000	10.215151%
Haines Borough SD	707	2,489,000	0.202668%
Hoonah City SD	708	1,651,000	0.134433%
Hydaburg City SD	709	537,000	0.043725%
Juneau Borough SD	710	45,852,000	3.733521%
Kake City SD	712	1,328,000	0.108133%
Ketchikan Gateway Borough SD	714	22,401,000	1.824012%
Klawock City SD	717	1,718,000	0.139889%
Kodiak Island Borough SD	718	20,928,000	1.704072%
Nenana City SD	719	2,909,000	0.236867%
Nome City SD	720	6,915,000	0.563057%
Matanuska-Susitna Borough SD	722	152,748,000	12.437577%
Pelican City SD	723	113,000	0.009201%
Petersburg City SD	724	5,289,000	0.430659%
Sitka Borough SD	727	14,334,000	1.167153%
Skagway City SD	728	1,125,000	0.091604%
Unalaska City SD	729	4,884,000	0.397682%
Valdez City SD	730	6,905,000	0.562243%
Wrangell Public SD	731	2,367,000	0.192734%
Yakutat SD	732	1,483,000	0.120754%
University of Alaska	733	65,142,000	5.304218%
Galena City SD	735	8,368,000	0.681368%
North Slope Borough SD	736	22,766,000	1.853732%
State of Alaska	737	-	0.000000%
Bristol Bay Borough SD	742	1,169,000	0.095186%
Southeast Regional Resource Center	743	1,061,000	0.086392%
Dillingham City SD	744	6,053,000	0.492868%
Kenai Peninsula Borough SD	746	81,461,000	6.633000%
Saint Mary's SD	748	1,645,000	0.133945%
Northwest Arctic Borough SD	751	18,823,000	1.532672%
Bering Strait SD	752	22,072,000	1.797223%
Lower Yukon SD	753	20,955,000	1.706271%
Lower Kuskokwim SD	754	44,581,000	3.630029%
Kuspuk SD	755	3,823,000	0.311290%
Southwest Region SD	756	6,988,000	0.569001%
Lake And Peninsula Borough SD	757	5,350,000	0.435626%
Aleutian Region SD	758	582,000	0.047390%
Pribilof SD	759	891,000	0.072550%
Iditarod Area SD	761	3,190,000	0.259747%

STATE OF ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN

Supplemental Schedule of Employer Allocations of Special Funding Amounts (Unaudited)

As of and for the year ended June 30, 2015

Employer	Employer Number	Present value of projected future state contributions	Employer Proportionate Share
Yukon / Koyukuk SD	762	\$ 6,519,000	0.530813%
Yukon Flats SD	763	4,050,000	0.329773%
Denali Borough SD	764	3,507,000	0.285559%
Delta/Greely SD	765	6,370,000	0.518680%
Alaska Gateway SD	766	4,499,000	0.366333%
Copper River SD	767	3,368,000	0.274241%
Chatham SD	768	1,467,000	0.119451%
Southeast Island SD	769	2,890,000	0.235320%
Annette Island SD	770	3,612,000	0.294109%
Chugach SD	771	2,168,000	0.176530%
Tanana SD	775	699,000	0.056916%
Kashunamiut SD	777	2,927,000	0.238332%
Yupiit SD	778	5,226,000	0.425529%
Special Education Service Agency	779	1,480,000	0.120510%
Aleutians East Borough SD	780	2,678,000	0.218057%
Total Present Value of Projected Future State Contributions		\$ 1,228,117,000	100.0000%

See accompanying independent auditors' report

STATE OF ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN
Supplemental Schedule of Special Funding Amounts by Employer (Unaudited)
As of and for the year ended June 30, 2015

Employer	Employer Number	State Proportionate Share of Net Pension Liability Attributable to Employer	Employer Pension Expense and Related Revenue Attributable to Special Funding Situation
Anchorage SD	701	\$ 401,178,221	51,941,212
Cordova City SD	704	2,677,634	346,678
Craig City SD	705	3,250,885	420,897
Fairbanks North Star Borough SD	706	115,994,452	15,017,995
Haines Borough SD	707	2,301,323	297,956
Hoonah City SD	708	1,526,510	197,640
Hydaburg City SD	709	496,509	64,284
Juneau Borough SD	710	42,394,643	5,488,905
Kake City SD	712	1,227,865	158,974
Ketchikan Gateway Borough SD	714	20,711,908	2,681,605
Klawock City SD	717	1,588,458	205,660
Kodiak Island Borough SD	718	19,349,976	2,505,274
Nenana City SD	719	2,689,654	348,234
Nome City SD	720	6,393,592	827,789
Matanuska-Susitna Borough SD	722	141,230,415	18,285,337
Pelican City SD	723	104,480	13,527
Petersburg City SD	724	4,890,196	633,142
Sitka Borough SD	727	13,253,180	1,715,911
Skagway City SD	728	1,040,172	134,673
Unalaska City SD	729	4,515,734	584,660
Valdez City SD	730	6,384,346	826,592
Wrangell Public SD	731	2,188,522	283,352
Yakutat SD	732	1,371,178	177,529
University of Alaska	733	60,230,129	7,798,095
Galena City SD	735	7,737,032	1,001,726
North Slope Borough SD	736	21,049,386	2,725,299
State of Alaska	737	-	-
Bristol Bay Borough SD	742	1,080,854	139,940
Southeast Regional Resource Center	743	980,998	127,011
Dillingham City SD	744	5,596,589	724,600
Kenai Peninsula Borough SD	746	75,318,635	9,751,629
Saint Mary's SD	748	1,520,963	196,922
Northwest Arctic Borough SD	751	17,403,698	2,253,286
Bering Strait SD	752	20,407,715	2,642,221
Lower Yukon SD	753	19,374,940	2,508,506
Lower Kuskokwim SD	754	41,219,480	5,336,755
Kuspuk SD	755	3,534,736	457,648
Southwest Region SD	756	6,461,087	836,528
Lake And Peninsula Borough SD	757	4,946,596	640,444

STATE OF ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN
Supplemental Schedule of Special Funding Amounts by Employer (Unaudited)
As of and for the year ended June 30, 2015

Employer	Employer Number	State Proportionate Share of Net Pension Liability Attributable to Employer	Employer Pension Expense and Related Revenue Attributable to Special Funding Situation
Aleutian Region SD	758	\$ 538,116	69,671
Pribilof SD	759	823,816	106,661
Iditarod Area SD	761	2,949,466	381,872
Yukon / Koyukuk SD	762	6,027,451	780,384
Yukon Flats SD	763	3,744,620	484,822
Denali Borough SD	764	3,242,563	419,820
Delta/Greely SD	765	5,889,686	762,547
Alaska Gateway SD	766	4,159,764	538,572
Copper River SD	767	3,114,044	403,180
Chatham SD	768	1,356,384	175,613
Southeast Island SD	769	2,672,087	345,960
Annette Island SD	770	3,339,646	432,390
Chugach SD	771	2,004,527	259,529
Tanana SD	775	646,294	83,677
Kashunamiut SD	777	2,706,297	350,389
Yupit SD	778	4,831,946	625,600
Special Education Service Agency	779	1,368,404	177,170
Aleutians East Borough SD	780	2,476,072	320,581
Total for all employers		\$ <u>1,135,513,877</u>	<u>147,016,872</u>

See accompanying independent auditors' report

STATE OF ALASKA TEACHERS' RETIREMENT SYSTEM
DEFINED BENEFIT PENSION PLAN

Supplemental Schedule of Employer and Nonemployer Contributions (Unaudited)

As of and for the year ended June 30, 2015

Employer/Nonemployer	Employer number	Actual Contributions
Employers:		
Anchorage SD	701	\$ 12,824,989
Cordova City SD	704	93,121
Craig City SD	705	110,762
Fairbanks North Star Borough SD	706	3,876,399
Haines Borough SD	707	67,346
Hoonah City SD	708	46,109
Hydaburg City SD	709	3,661
Juneau Borough SD	710	1,401,567
Kake City SD	712	34,224
Ketchikan Gateway Borough SD	714	737,815
Klawock City SD	717	57,146
Kodiak Island Borough SD	718	647,632
Nenana City SD	719	91,497
Nome City SD	720	196,991
Matanuska-Susitna Borough SD	722	4,732,181
Pelican City SD	723	57
Petersburg City SD	724	178,212
Sitka Borough SD	727	458,336
Skagway City SD	728	36,740
Unalaska City SD	729	123,109
Valdez City SD	730	289,734
Wrangell Public SD	731	74,801
Yakutat SD	732	35,976
University of Alaska	733	2,314,145
Galena City SD	735	266,991
North Slope Borough SD	736	591,144
State of Alaska	737	12,499,596
Bristol Bay Borough SD	742	27,111
Southeast Regional Resource Center	743	22,454
Dillingham City SD	744	148,549
Kenai Peninsula Borough SD	746	2,407,075
Saint Mary's SD	748	44,151
Northwest Arctic Borough SD	751	492,081
Bering Strait SD	752	436,529
Lower Yukon SD	753	393,486
Lower Kuskokwim SD	754	1,109,995
Kuspuk SD	755	121,709
Southwest Region SD	756	145,378
Lake And Peninsula Borough SD	757	94,680

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Supplemental Schedule of Employer and Nonemployer Contributions (Unaudited)

As of and for the year ended June 30, 2015

Employer/Nonemployer	Employer number	Actual Contributions
Aleutian Region SD	758	\$ 14,119
Pribilof SD	759	16,079
Iditarod Area SD	761	51,062
Yukon / Koyukuk SD	762	154,571
Yukon Flats SD	763	83,977
Denali Borough SD	764	83,804
Delta/Greely SD	765	162,565
Alaska Gateway SD	766	127,792
Copper River SD	767	115,656
Chatham SD	768	48,982
Southeast Island SD	769	74,096
Annette Island SD	770	81,026
Chugach SD	771	75,165
Tanana SD	775	10,394
Kashunamiut SD	777	31,482
Yupiit SD	778	65,344
Special Education Service Agency	779	39,682
Aleutians East Borough SD	780	87,302
Total Employer Contributions		<u>48,556,577</u>
Nonemployer:		
State of Alaska		<u>1,650,517,011</u>
Total for all entities		<u>\$ 1,699,073,588</u>

See accompanying independent auditor's report